- The disinvestment process has also been speeded up. Taking all these measures into account, the Mid-Year Economic Analysis 2012-13 indicated a likely slippage in the fiscal deficit for the current fiscal by only 0.2 percentage point.

In terms of the implied year-on-year growth envisaged by BE 2012-13 over provisional actuals of 2011-12, there is **slippage** in the first nine months of the current fiscal in corporate income tax by 4.9 percentage points, customs by 18.9 percentage points, and central excise by 16 percentage points.

There is **overperformance** in service tax collection by 5.9 percentage points and personal income tax by 7.6 percentage points. In terms of overall gross tax revenue, there is **slippage** of 6 percentage points in April-December 2012. Going forward, the realisation in the fourth quarter will determine the extent of shortfall for the year over BE.

The outcome in terms of the **fiscal deficit** of the centre broadly indicates that the slippage will be limited to 0.2 percentage point on account of the expenditure measures that could help offset the shortfall in non-debt receipts. The crucial lesson that emerges from the fiscal outcome in 2011-12 and 2012-13 is that in times of heightened uncertainties, there is need for continued risk assessment through close monitoring and for taking appropriate measures for achieving better fiscal marksmanship. Open ended commitments such as uncapped subsidies are particularly problematic for fiscal credibility because they expose fiscal marksmanship to the vagaries of prices.

Who Gets LPG Subsidies?[4]

Subsidies should be well targeted at the poor. The reach of subsidies on LPG is highly unequal amongst the poor and rich in rural and urban areas. While there is a significant inequality in the proportion of subsidies received by the poorest and richest households in rural areas, the distribution is more equitable across urban households. However, in both cases, the proportion of subsidies that go to the poor is low.

The proportion of LPG subsidies received by each quintile across rural and urban households